D06 · Network Design & 3PL Management

02 · 3PL selection, contract design & governance

Supply Chain Reference Architecture v2.2 · mrsupplychain.ai

1 WHAT IT IS

3PL management covers selecting a third-party logistics provider, structuring the contract — scope, SLAs, pricing, data and exit terms — and governing the relationship with scorecards and regular business reviews.

2 WHY IT MATTERS

Outsourcing logistics transfers execution, not accountability: the customer still sees your brand. **Most failed 3PL relationships trace back to vague scope, unenforceable SLAs or the absence of governance**, not to the provider's capability. Selecting on price alone tends to create the problems that cost more later.

3 HOW IT IS DONE

1. **Write a precise scope and volume profile.** Processes, volumes, seasonality and growth assumptions the price is built on.
2. **Make SLAs measurable and consequential.** OTIF, inventory accuracy, dock-to-stock — with defined credits or penalties.
3. **Secure data rights and exit terms.** System access, data ownership, transition assistance and return of data.
4. **Govern on a cadence.** Monthly operational reviews and quarterly business reviews with root cause and improvement plans.

IN PRACTICE

Never accept vague SLAs

“Best effort” or “industry standard” language is unenforceable and guarantees future disputes.

Design the exit before you sign the entry

The time to negotiate transition assistance and data rights is before the relationship begins, not when it is already failing.

Run governance with the same rigor as an internal department

A 3PL that is not reviewed regularly will optimize for its own convenience.

ILLUSTRATIVE CASE

Illustrative case built from typical industry values — not data from a specific company.

Illustrative case — Manufacturer outsourcing a regional DC to a new 3PL — Previous 3PL relationship had degraded due to weak SLAs and almost no governance.

Element	Previous Contract	New Contract + Governance
SLAs	Vague (“best effort”)	Specific OTIF, accuracy, dock-to-stock with credits
Pricing	Partially opaque	Activity-based + clear gain-share mechanism
Governance	Ad-hoc when problems arose	Monthly ops + quarterly executive QBR
Exit provisions	Weak	Detailed transition assistance and data return

Result: After 12 months the new relationship delivered 4.1 points higher OTIF and a 7% reduction in cost-to-serve versus the previous 3PL, with far fewer escalations.

HOW IT IS MEASURED

3PL SLA Attainment %

(SLAs met / Total measured SLAs) × 100 or weighted scorecard result

Benchmark: Target should be set high enough that misses trigger meaningful discussion

Cost-to-Serve vs Contract Baseline

Actual fully-loaded cost versus the cost assumed in the commercial model

Benchmark: Significant favorable or unfavorable variance requires investigation

WHAT YOU WOULD USE

3PL Management

Scorecard & QBR tools (Power BI / Tableau + shared data room) — Most effective governance stacks combine operational data with structured review cadences.

Contract lifecycle / CLM systems — Useful for managing complex multi-year 3PL agreements and amendments.

4 SO WHAT

Outsource execution, keep control. Specify scope precisely, make SLAs bite, design the exit before signing, and run governance with the same rigor as an internal operation.

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